

QUESTION TIME
Rishi Agarwal leaves the CBI office in New Delhi on February 21

sar Group, is back in the news—this time for the wrong reasons. The CBI (Central Bureau of Investigation) has booked Agarwal, former chairman of ABG Shipyard, and other directors of the firm for alleged misappropriation of Rs 22,842 crore from a consortium of 28 banks, including the State Bank of India (SBI), India's largest public sector bank, and ICICI Bank, the country's second-largest private bank.

Agarwal, four ABG Shipyard officials—executive director Santhanam Muthuswamy and directors Ashwini Kumar, Sushil Kumar Agarwal and Ravi Vimal Nevetia—and some 'unknown public servants' have been accused in the scam, which has once again exposed loopholes in the banking system that allow fraudsters to siphon off taxpayers' money. The banking system is already reeling under non-performing assets (NPAs) to the tune of Rs 8.35 lakh crore (March 2021), further squeezing lending.

A fallen star

What caused the downfall of ABG Shipyard and Agarwal's fall from glory? ABG was born in 1985 when Agarwal bought a small shipbuilding facility in Gujarat, Magdala Shipyard. The ambitious Agarwal went on to build scale and sophistication in his business. From 1990, over a decade, his firm built over 165 ships, a majority of them for clients in Europe and Asia. In 2000, ABG Shipyard got its first government order to build two inceptor boats for the Coast Guard. In 2011, it secured a licence to build ships, including submarines, for the Indian defence sector.

₹22,842 crore
Amount CBI says 28 banks lost in the ABG Shipyard fraud

₹7,089 crore
ABG Shipyard's dues to ICICI Bank

₹2,925 crore
Size of SBI's exposure to ABG Shipyard

₹8.35 lakh crore
Indian banks' NPAs as of March 2021

THE 'FRAUD'

The four instances of alleged misappropriation of funds by Rishi Agarwal and ABG Shipyard officials

Rs 1,415 crore was allegedly transferred through vendors and group firms and round-tripped back to the company. 'Round-tripping' is circulation of money across jurisdictions, culminating in its return to the jurisdiction of origin, usually as foreign investment.

ABG Shipyard invested in **$43.5 million (Rs 326 crore)** worth of securities of ABG Singapore. According to EY's forensic audit, the money may have been siphoned out of the system.

ABG Shipyard transferred **Rs 83 crore** to related firms, but the assets were allegedly not shown as part of the company's asset pool.

Under restructuring, lenders set up a trust and retention account (TRA). The money coming into the company during the period is held in the TRA so that lenders can monitor its use. The SBI says over 50 per cent of ABG Shipyard's receipts had been outside this arrangement–a breach of the restructuring agreement.

Sources: FIR against ABG Shipyard, EY forensic audit